

Variant Perception

Making
sense of
illusions

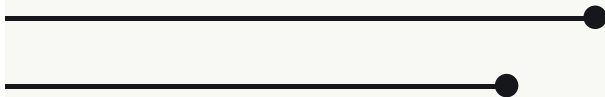


PDF



21
Jul
2025

CIO
Perspectives



Key Takeaways

- > Despite underperforming during the quarter, we are comfortable taking relative risk versus absolute risk in our portfolios, given what we perceive as unsustainably high valuations
- > We remain focused on areas exhibiting high earnings visibility and defensive growth with preference for companies with steady-eddy type earnings streams
- > If a scenario outside of the current investor complacency toward valuations were to occur, we believe our portfolios are well-positioned to compound capital and act as a hedge to what we consider to be frothy, narrow markets



It was a challenging quarter for us, as our returns trailed their benchmarks. Underperformance, regardless of the duration, is frustrating and not something we take lightly. That said, we have experienced similar situations in the past, so while the current relative return profile is uncomfortable, this is not entirely new.

Reflecting upon prior periods of underperformance, I have found that the difficult road has most often turned out to be the most prudent course of action over the long run. With

that in mind, let us add a bit of context to what we have seen so far in 2025.

**First, we
seem to
assume that
if a lot of
people are
doing the
same thing,
they must
know
something we
don't.”**

**-Robert
Cialdini,
*Influence***



| BOTTOM-UP YET MACRO AWARE

From a portfolio construction perspective, we have been and remain style-agnostic, bottom-up stock pickers focused on compounding client capital. However, we find it important to underscore that we are macro-aware investors. Macro has dominated many headlines and conversations recently, and it has become increasingly difficult to ignore.

We find macro can often be useful as a risk management tool. While it does not tell us what to buy, it can be useful in telling us what to potentially avoid. To enhance the likelihood of delivering on our objective to compound client capital, our decision-making is rooted in probability—we look at the mathematics and judge whether the odds are in our favor.

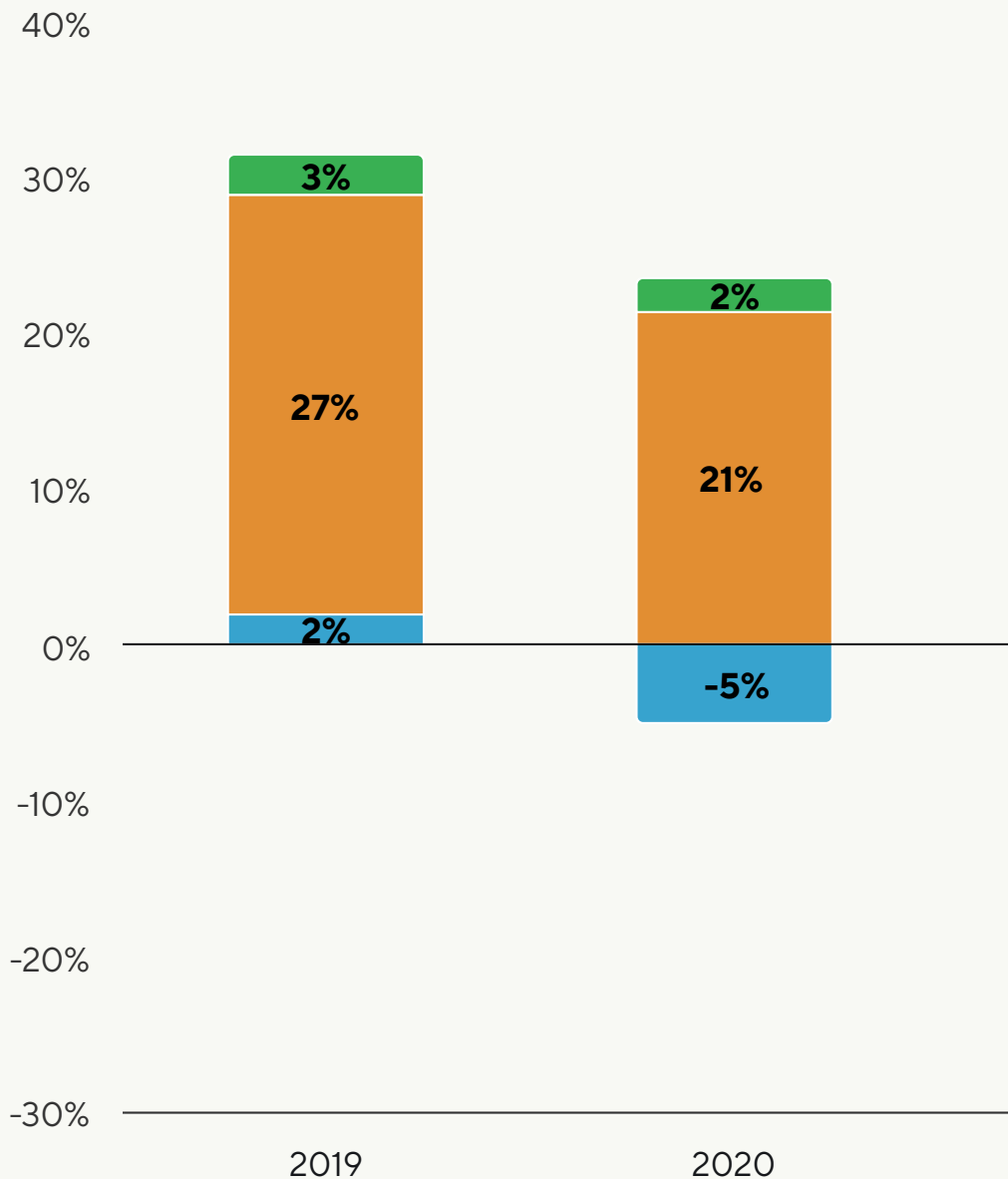
This approach does not always hold everywhere at all times. **In a raging bull market, especially in the latter stages where the “Fear of Missing Out” (FOMO) kicks into high gear, the math often takes a back seat to shiny, short-run returns.** Look at the S&P 500 as an example.

Despite the magical run in the S&P 500 over the last six years, from the COVID-era stimulus to the end of the zero-interest rate policy (ZIRP) era, earnings have grown at about an 8% compound annual growth rate (CAGR). Zooming out over the last 10 years, even with the tailwinds from ZIRP, expanding fiscal deficits, the rise of cloud computing, generative AI, Magnificent 7 stock performance, etc., S&P 500 earnings per share have still only grown at approximately 8% CAGR. If we believe earnings are like

gravity, and the growth in a company's stock price generally reflects the trajectory of its earnings growth, then the natural question to ask is: How did we get multiple years of more than 20% price appreciation?

There are three components of the S&P 500's total return: the change in earnings (fundamentals), the change in valuation (sentiment), and the dividend yield (income). The earnings growth of 8% is in line with the historical average. Yet, the dividend yield, while sticky, has declined. Therefore, the bulk of the index's rally in recent years has come from a change in sentiment (i.e. multiple expansion), which is the least durable of the three components, in our view.

S&P 500 Total Return Decomposition



Source: Bloomberg. Data from January 2019 to June 2025. You cannot invest directly

THE MATH MATTERS NOW MORE THAN EVER

One may rightly say:
Multiples did not matter for
over a decade, so why
should we care about high
valuations now? Just about
all of us have been investing

Evolution of Average
Forward Relative
Returns
Based on Starting Point
Valuations on Price-to-
Sales Ratio

in a secular, rate-declining regime for 25 years (or longer, depending on your perspective); however, rates have moved higher in recent times and remain higher today. The 10-year US Treasury has yielded around 4% for the past 33 months. Taking the inverse of the current S&P 500 multiple, which is currently 22x-24x depending on the source, that is roughly an earnings yield of 4%-4.5%.

Phrased differently, an investor can get nearly the same return from a deep, liquid, “risk-free” US Treasury than by taking on equity risk. (Albeit there is a modestly better return with equities after factoring in an average 1.2% dividend yield.) At the very least, cash is a viable alternative again. TINA (there is no alternative) is dead, or at least gone into hibernation!



Source: Bloomberg. Data from 1997 to 2025. S&P 500 companies. You cannot invest directly in an index. PAST PERFORMANCE MAY NOT BE INDICATIVE OF FUTURE RESULTS.

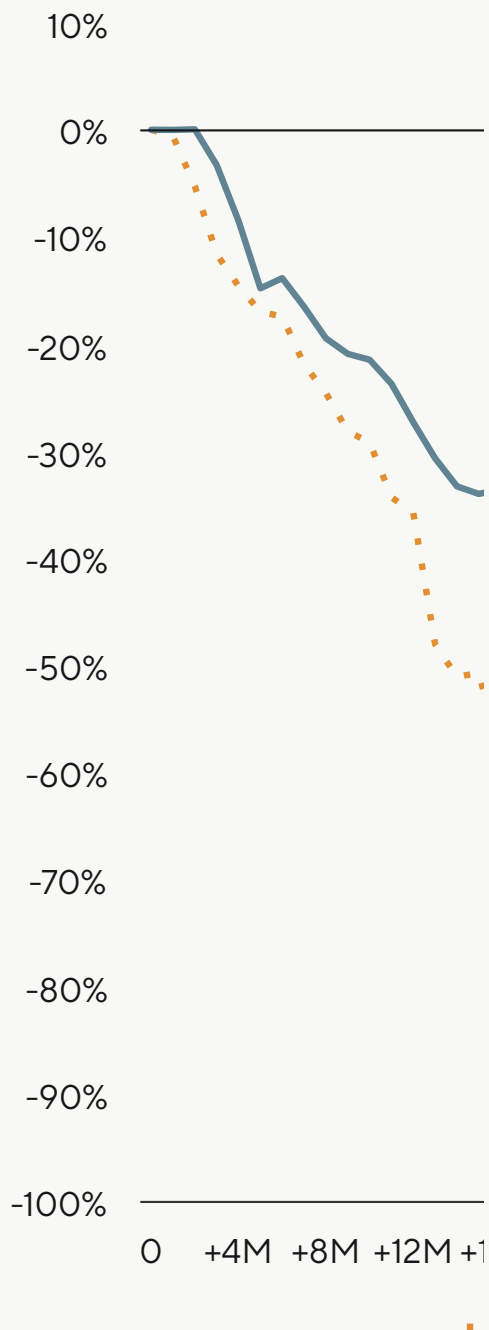
Has this had an impact anywhere? Yes. When examining price-to-sales (P/S) ratios, and excluding the noise introduced by Generally Accepted Accounting Principles (GAAP)/International Financial Reporting Standards (IFRS) accounting adjustments and below-the-line items, we can observe that the odds appear unfavorable when P/S exceeds 10x.

Not only does the median name underperform, but there is a much greater downside skew, which becomes more acute the higher the starting P/S. Historically, excess returns are very hard to come by at these levels.

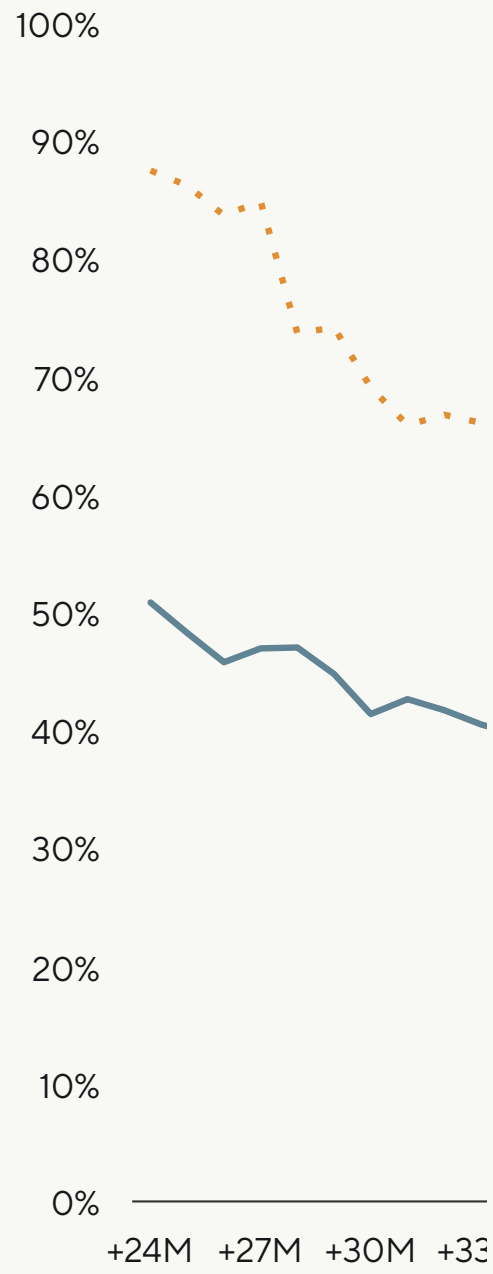
Unpacking this phenomenon a little further, we explored the typical multiple compression that took place after first hitting 10x and 20x sales, and we found the valuation decline to be quite dramatic.¹ We ran a scenario analysis to

determine the rate of revenue growth needed to offset this extreme multiple compression and still arrive at a prospective 10% annualized return. At 10x P/S, a median revenue growth rate of 30% is needed to offset the median valuation compression of 60%. In the large- to mega-cap ecosystem, names growing in excess of 30% annual sales are rare. The US Information Technology sector is currently priced at nearly 10x P/S.

Hitting Price-to-Sales Thresholds for the First Time Median Percent Valuation Compression, 5Y Forward



Hypothetical Annualized Revenue Growth Required to Compensate for Valuation Compression for a Minimum 10% Ann. Return, 2-5Y Forward



Source: Bloomberg, GQG. Data for time period between 1997 through 2020.
PAST PERFORMANCE MAY NOT BE INDICATIVE OF FUTURE RESULTS.

Do not just take our word for it. The co-founder and former

CEO of Sun Microsystems, Scott McNealy, highlighted this exact phenomenon back in 2002:

At 10 times revenues, to give you a 10-year payback, I have to pay you 100% of revenues for 10 straight years in dividends. That assumes I can get that by my shareholders. That assumes I have zero cost of goods sold, which is very hard for a computer company. That assumes zero expenses, which is really hard with 39,000 employees. That assumes I pay no taxes, which is very hard. And that assumes you pay no taxes on your dividends, which is kind of illegal. And that assumes with zero R&D for the next 10 years, I can maintain the current revenue run rate. Now, having done that, would any of you like to buy my stock at \$64? Do you realize how ridiculous those basic assumptions are? You don't need any transparency. You don't need any footnotes. What were you thinking?"²

While we never know *when*, the math ultimately wins.

THE ODDS ARE NOT FAVORABLE

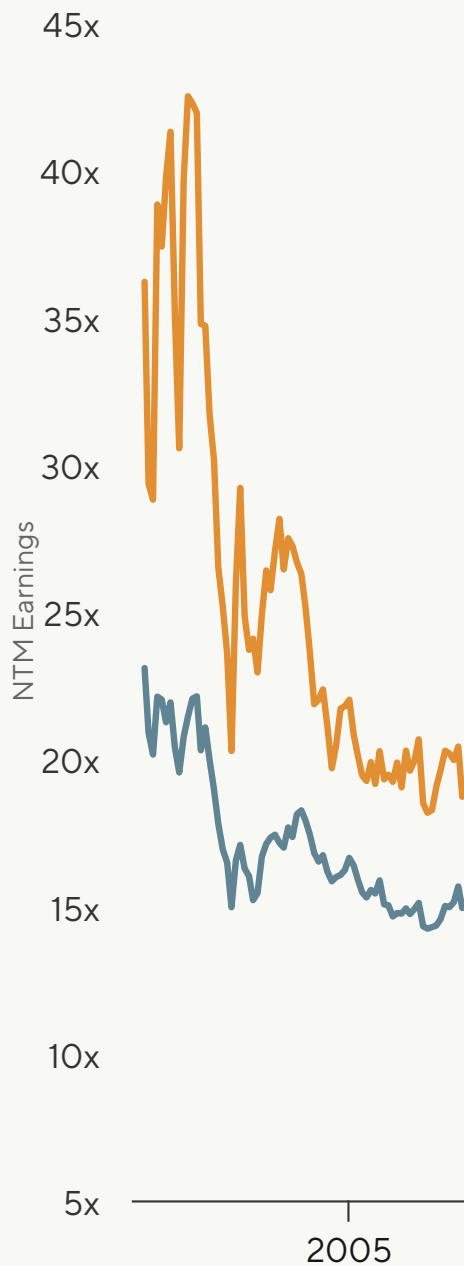
Although I have lived through and survived a few crashes in the US and abroad as an investor, they are difficult to predict. But in investing, one must know when to pivot as conditions change. An analogy comes to mind: When the sun is shining, and if the pavement is dry and there are no other cars around, driving at speed in the fast lane generally poses few risks. However, as the clouds roll in and the rain starts to fall, and as the pavement becomes damp, prudence

would suggest moving out of the fast lane and slowing down. Failing to do so does not guarantee a bad outcome, but it greatly increases the probability of a crash relative to the sunny conditions.

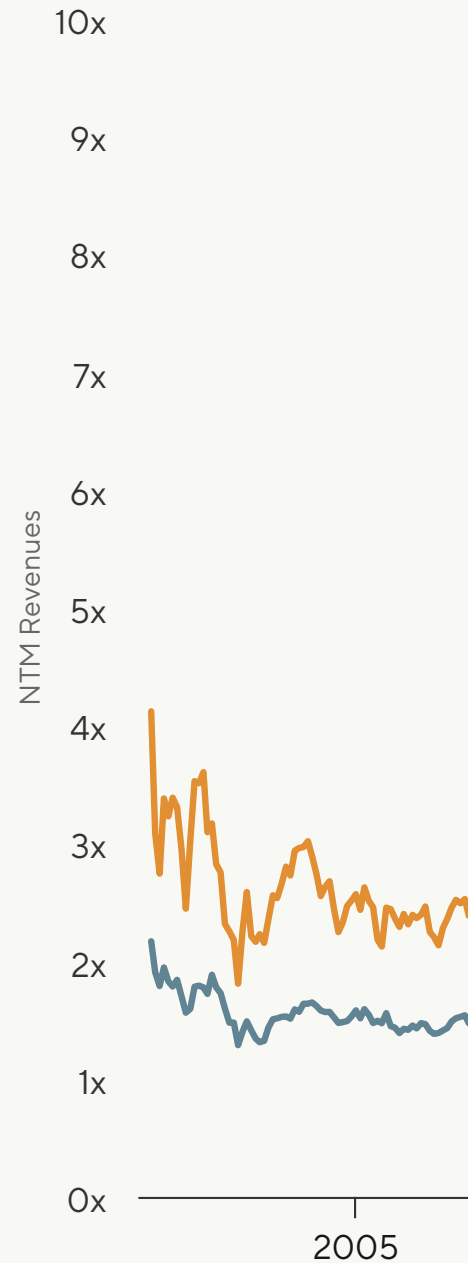
We are not predicting a market crash because valuations are high, nor are we definitively saying that we are headed for economic calamity. That said, we believe valuations matter, and we consider equity market valuations in the US, particularly in the technology sector, to be quite stretched. In fact, we could be wrong. We could see growth accelerate beyond current levels and overall earnings improve, suggesting that estimates were too low. If that happens, and if we feel conditions have improved, we will shift gears and adapt, consistent with what we have done historically. For now, we are merely saying that we believe the math shows that the odds are stacked against that outcome.

Price-to-sales multiples are the highest they have been in the past 25 years (higher than dotcom and the 2021 post-COVID bubble). Price-to-earnings multiples are also the highest they have been since the post-COVID bubble and are in line with the punchy multiples from the dotcom bust. Zooming in on tech specifically, we are at higher valuations than the post-COVID bubble on a P/E basis, and we are at the highest valuations in the last 25 years on a P/S basis. Given the increasing use of adjustments to earnings numbers, one could argue we are likely at a new high on P/Es.

Tech is in Rarefied Territory Again on NTM Earnings...



...And Even More So on NTM Revenues



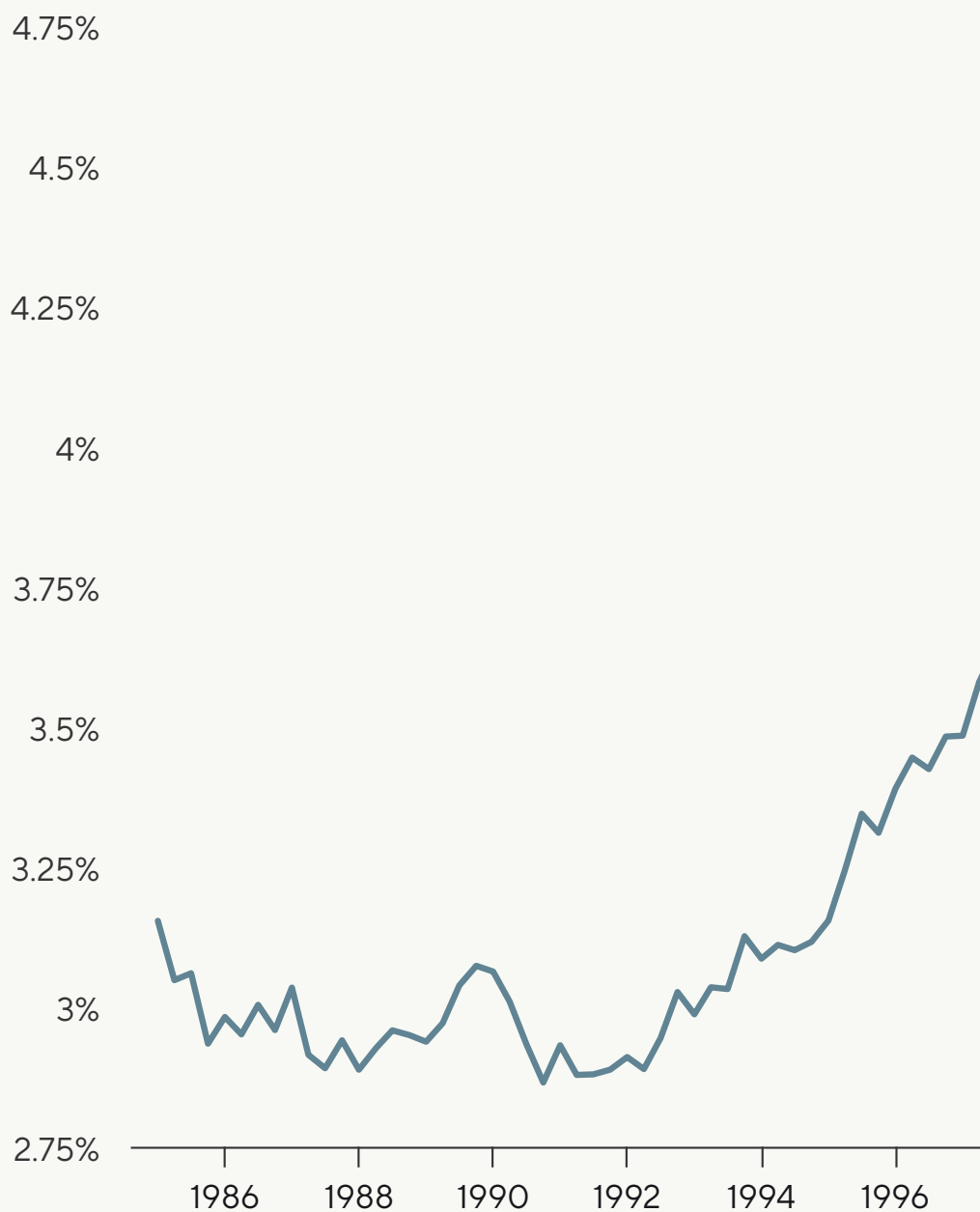
Source: Bloomberg. Data from 31 January 2001 to 30 June 2025. You cannot invest directly in an index. PAST PERFORMANCE MAY NOT BE INDICATIVE OF FUTURE RESULTS. NTM represents Next Twelve Months.

TECHNOLOGY CAPEX

We are in the midst of a generational shift in the age of AI, so perhaps the markets are just pricing in that

opportunity. Again, that could be true, and if the data comes through, we are happy to adjust the portfolio accordingly. However, we believe it is becoming harder to justify the math as expectations continue to drive higher valuations. Tech capital expenditures (capex) as a percentage of GDP are also at dotcom highs, further underscoring that we are operating well outside of sustainable levels.

IT Capital Expenditures as a Percent of GDP

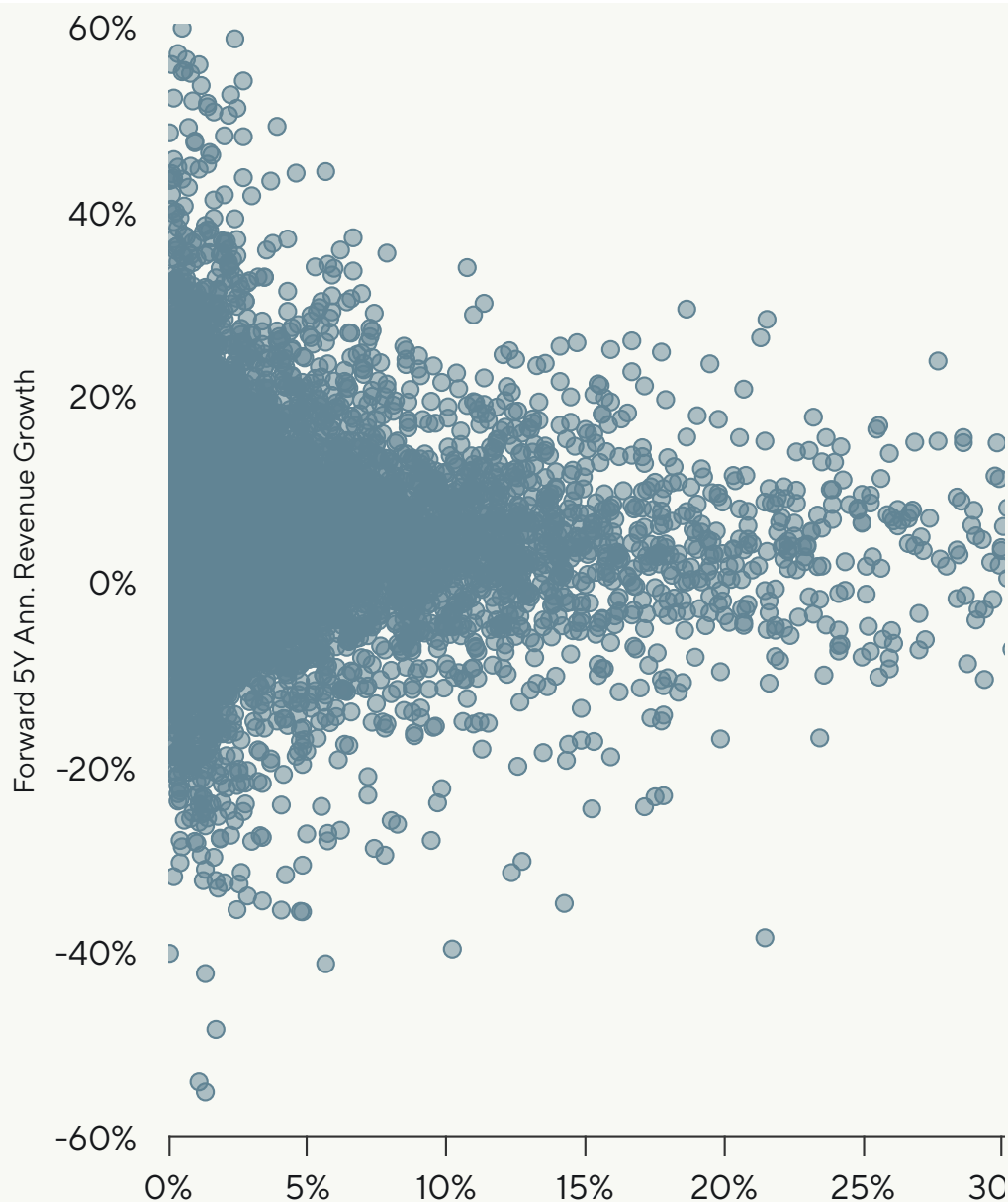


Source: Department of Commerce. US GDP. Data from 31 December 1984 to 31

| CONCENTRATION RISK

The other potential issue facing markets is that leadership is incredibly narrow, and the concentration within various global indexes continues to march higher. For example, the top 10 stocks in the S&P 500 currently make up roughly 35% of the index. In the MSCI Emerging Markets Index, that figure is around 28%. As a bottom-up stock picker, if we do not find the risk-to-reward tradeoff attractive, we are either making a huge relative call by not owning a variety of names, or we are taking a huge absolute risk by owning names we find unattractive.

Relationship of Starting Percentage Share of Industry Revenues and Forward 5Y Annual Revenue Growth



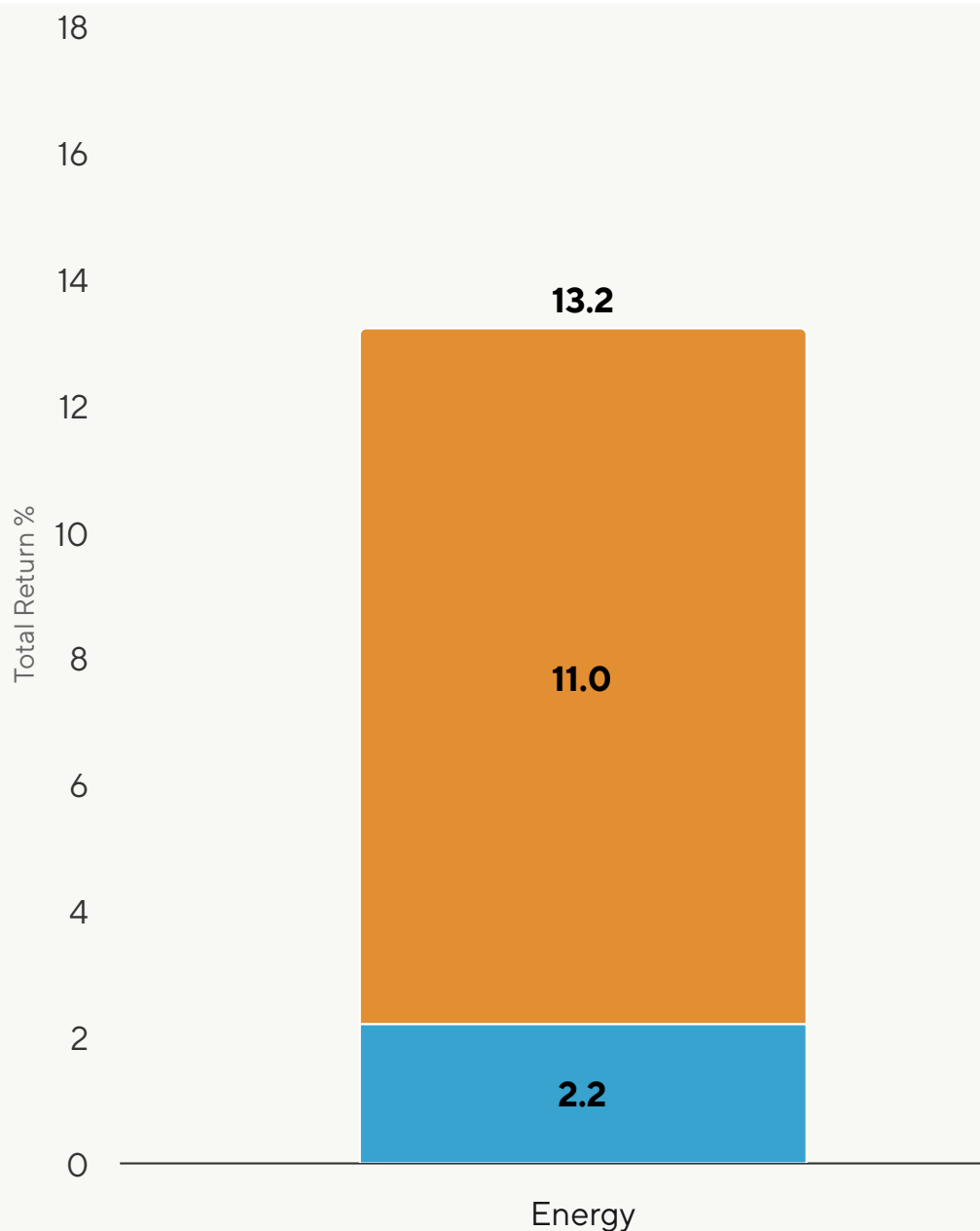
Source: Bloomberg. Data from 1992 to 2024. Content does not constitute to investment advice and no investment decision should be made based on it.

Unfortunately, that is not the only issue with the concentration of leadership. As many of our investors are aware, our method of diversification is based on the end-consumer risk or correlation of the economics of the businesses we own. A large proportion of recent “winners” in the S&P 500 are adjacent to the AI or datacenter themes, which also means if there is a hiccup on that thesis or growth trajectory, index performance will likely suffer, in our opinion.

| BACK TO BASICS

For us, everything comes back to earnings. Our focus remains on finding companies that can, in our view, achieve a total return profile of high single-digit to low double-digit compounding, including annualized earnings growth and dividend yield, with less risk. To us, this becomes increasingly more attractive if we assume that broad equity markets are likely to deliver 6%-8% over the long run. As we have highlighted throughout this piece, given starting valuations circa 2025, it is our view that many stocks and indexes are likely to deliver even less.

Company Compounding Potential



Hypothetical examples. For illustrative purposes only.

Like all things, investing has its tradeoffs. Although the earnings growth across defensive, steady-eddy businesses tends to be quite lower than the more expensive tech and tech-like cohort, slower growers tend to have substantially greater earnings visibility on a prospective basis. They also tend to drive a greater proportion of their total return via a sustained dividend yield and have less multiple compression risk in an otherwise exuberant market. (Recall the 30% revenue growth needed to fight 60% valuation compression

to achieve a 10% trailing return on a 10X P/S name).

The math is breaking down, in our opinion. We believe the odds of double-digit compounding are no longer in your favor in the priciest or highest-growth areas of the market. We currently run two key risks from an investment perspective: earnings could dramatically improve from here (which would be well above long-term trends) and/or the market could push valuations higher. Such an environment may cause our portfolios to continue to lag on a relative basis but likely persist in compounding on an absolute basis.

However, if a scenario outside of the current complacent, 'Goldilocks' point of view were to occur, then our view is that our portfolios are exceptionally well-positioned to compound client capital and act as a hedge to otherwise frothy, narrow markets.

As always, thank you for your support.

Rajiv Jain
Chairman & Chief Investment Officer
GQG Partners LLC

END NOTES

¹Bloomberg. Data from 30 September 2020 through 30 June 2025

²McNealy, Scott. "A Talk with Scott McNealy". Bloomberg. 1 April 2002.

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